FOREIGN EXCHANGE MARKETS

Definitions of Foreign Exchange Markets

The Foreign Exchange Market (Forex or FX Market) is a decentralized global marketplace where currencies are traded. It facilitates the exchange of one currency for another and determines exchange rates based on supply and demand.

The foreign exchange market is a global decentralized or over-the-counter (OTC) market for trading currencies, determining exchange rates, and facilitating international trade and investment.

Exchange Rate Regimes

An exchange rate regime is the system a country uses to determine the value of its currency in relation to other currencies. Governments and central banks choose different regimes based on economic policies, trade objectives, and financial stability goals.

Types of Exchange Rate Regimes:

1. Fixed Exchange Rate Regimes

- The value of a country's currency is tied to another currency (e.g., USD), a basket of currencies, or a commodity like gold. The central bank actively intervenes in the foreign exchange market to maintain the fixed rate.
- In these regimes, the value of a currency is pegged to another currency or a group of currencies, or to a specific value.
- The government or central bank actively intervenes in the foreign exchange market to maintain the fixed exchange rate. Examples include currency boards, where a country's currency is pegged to a specific foreign currency, and monetary unions, where a group of countries share a common currency.

Examples of this fixed exchange rate regime include; Hong Kong Dollar (HKD) is pegged to the USD, and Saudi Riyal (SAR) is pegged to the USD.

Advantages of fixed exchange rate regime

- Reduces exchange rate volatility, benefiting trade and investment.
- Helps control inflation if pegged to a stable currency.

Disadvantages fixed exchange rate regime

- Requires large foreign exchange reserves to maintain the peg.
- Limits a country's ability to respond to economic crises independently.

2. Flexible Exchange Rate Regimes (Floating Exchange Rate Regimes):

- In these regimes, the value of a currency is determined by market forces, primarily supply and demand in the foreign exchange market.
- The government or central bank typically does not intervene to maintain a specific exchange rate, though they may intervene to moderate excessive fluctuations.
- Managed Float: The government or central bank intervenes in the foreign exchange market to influence the exchange rate, but the rate is still largely determined by market forces.
- Lightly Managed Float: Involves only light interventions in the foreign exchange market to moderate excessive fluctuations.

Examples of this flexible exchange rate include US Dollar (USD), Euro (EUR) and Japanese Yen (JPY)

Advantages of flexible exchange rate

- Automatically adjusts to economic conditions.
- No need for large foreign reserves.

Disadvantages flexible exchange rate

- Higher volatility, which can affect international trade and investment.
- Risk of currency speculation affecting stability.

The J-Curve Phenomenon

The J-Curve Phenomenon is an economic theory that explains how a country's trade balance initially worsens before improving following a currency depreciation or devaluation. The name comes from the shape of the curve, which resembles the letter "J."

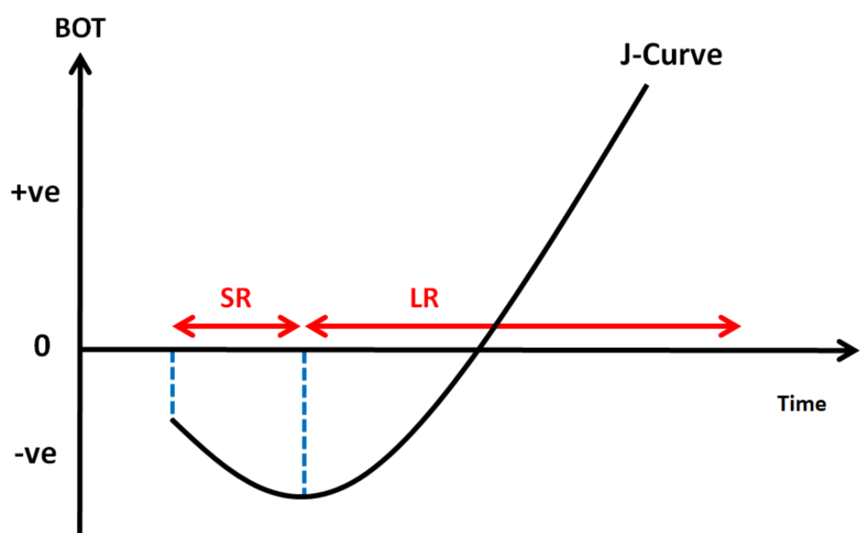
When a country devalues or depreciates its currency, its exports become cheaper for foreign buyers, and imports become more expensive. However, the expected improvement in the trade balance does not happen immediately. Instead, the trade deficit initially worsens before improving over time.

Real-world example this phenomenon is that the J curve theory can be used to explain the change in a country's trade balance in response to a currency devaluation.

Graphical Representation of the J-Curve

The **J-Curve** is typically represented as a graph where:

- The X-axis represents Time (before and after currency depreciation).
- The Y-axis represents the Trade Balance (surplus or deficit).
- Initially after a currency depreciation, the trade balance worsens due to existing contracts and slow adjustments in export demand.
- Over time, exports become more competitive, imports decline, and the trade balance improves, forming a "J" shape.



In the above graph, time is taken on the horizontal axis (x-axis), while balance of trade (BOT) is taken on the vertical axis (y-axis). This graph shows the shape of the J curve, which is similar to the English alphabet "J." That's why this curve is named the J-curve. The first part of the J curve is downward sloping, which shows that the balance of trade is deteriorating in the short run following the depreciation of currency. The second part of the J curve is upward sloping, which shows that the balance of trade is improving in the long run following the depreciation of currency.

The balance of trade is the difference between the value of exports and the value of imports.

Balance of Trade = Exports – Imports

BOT = X – M

In the short run, the demand for exports and imports is price-inelastic. When the exchange rate depreciates, exports become cheaper and imports become more expensive. Due to price inelastic demand, export revenue decreases and import expenses increase, which leads to a worsening of the balance of trade.

Methods to Correct a Trade Deficit in the exchange rate deficits:

- Exchange Controls & Import Restrictions – The government imposes quotas, tariffs, or licensing requirements to reduce imports and encourage local production.
- Devaluation of Currency – The central bank may officially lower the fixed exchange rate, making exports cheaper and imports more expensive.
- Foreign Exchange Reserves Intervention – The central bank uses foreign currency reserves to buy back the local currency and maintain the exchange rate.
- Fiscal & Monetary Policies – The government may increase taxes on imports, reduce government spending, or tighten monetary policy to lower import demand.
- Export Promotion Policies – The government may provide subsidies, tax incentives, and infrastructure support to boost domestic exports.

Effects of Currency Devaluation

Currency devaluation occurs when a country deliberately lowers the value of its currency relative to other currencies. This is typically done in a **f**ixed or managed exchange rate system to improve trade balance and economic stability. However, devaluation has both positive and negative effects.

Positive Effects of Devaluation

- **Boosts Exports**

Devaluation makes the country's goods and services cheaper for foreign buyers. Increases export demand, improving the trade balance.

- **Reduces Trade Deficit**

As exports increase and imports decline, the trade deficit shrinks. This helps stabilize the current account balance.

- **Encourages Domestic Production**

Expensive imports force consumers and businesses to rely more on locally produced goods. This can stimulate domestic industries and create jobs.

- **Attracts Foreign Investment & Tourism**

Foreign investors find cheaper assets in the country, increasing FDI (Foreign Direct Investment). Tourists find it cheaper to visit, boosting the hospitality sector.

- **Debt Relief for Countries with Foreign Loans**

If a country has foreign debt, devaluation can make it easier to repay loans in local currency (if loans are in domestic currency).

Negative Effects of Devaluation

- **Increases Cost of Imports (Imported Inflation)**

Essential goods like oil, machinery, and medicine become more expensive. This leads to inflation, raising the cost of living.

- **Reduces Purchasing Power of Citizens**

Imported goods (including raw materials) become costly, leading to higher production costs. Wages may not increase as fast as prices, reducing people's real income.

- **Can Cause Capital Flight & Loss of Investor Confidence**

Investors may withdraw money due to fears of further devaluation, leading to a weaker financial system. Foreign businesses may hesitate to invest, fearing economic instability.

- **Higher Cost of Foreign Debt (If Loans Are in Foreign Currency)**

If a country has loans in USD or another foreign currency, devaluation makes repayment more expensive. This can increase debt distress, especially for developing countries.

- **Can Trigger a Currency War**

Neighboring countries might devalue their own currencies to remain competitive. This can lead to global economic instability.